OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Shoalhaven Flyer's Deficit Figures Questioned: $6m, $5.95m or $12.5m?

Sent 15 July 2026 · To Shoalhaven City Council · Response requested by 5 August 2026

Mr Andrew Constance

Chief Executive Officer

Shoalhaven City Council

36 Bridge Road, Nowra NSW 2541

15 July 2026

Open Letter: The "Financial Turnaround" Ratepayer Flyer — Why Wasn't the Full Story Told?

Dear Mr Constance,

I write in the knowledge that correspondence from this publication has, in recent months, been declined on the basis of guidance relating to unreasonable conduct. I note, for the record, that the application of that guidance to a public interest publication with more than 3,800 local readers is itself a matter currently before the NSW Ombudsman. The questions in this letter are not personal complaints. They are questions of public administration, put openly, on behalf of a readership that represents approximately 5.1 per cent of Shoalhaven's registered voters. They are questions any member of the public could put at an ordinary council meeting. I put them here, in writing, on the public record — and will publish whatever response is received, including none.

This letter concerns the "Financial Turnaround" insert mailed to ratepayers alongside recent rates notices, and the media release of the same name issued under your name on 23 April 2026.

I have compared the flyer's claims against council's own adopted reports — CL26.93 (30 April 2026) and CL26.129 (29 June 2026) — and against council's public exhibition record.

Every individual figure in the flyer appears to trace to a real council document. What is missing, in every case set out below, is the context that would let a ratepayer judge how solid that figure actually is.

I ask you directly: who approved the framing of this document, and why was the more complete version of each of these stories left out?

1. Your media release of 23 April 2026 stated the General Fund deficit would fall to $6 million by June 2027. Council's public exhibition in May 2026 put the figure at $5.95

million. The flyer now mailed to ratepayers states $12.5 million. Which of these three figures reflects council's actual financial position, and why did the flyer not explain the $6.59 million deterioration that occurred between public exhibition and adoption on 29 June — a change of more than 110 per cent that was never re-exhibited or separately notified to residents?

1. The flyer presents the $14.4 million land sales program for 2026-27 as a straightforward source of revenue. Council's own independent Finance and Infrastructure Review Panel has described this target as “overly optimistic,” and the same land sales program was revised down $5.7 million mid-year, attributed to “timing.” Why was the panel's own assessment not disclosed to ratepayers alongside the target?

1. The flyer states “more than 50 positions removed” since June 2024. Council's own restructure documentation records 52 positions disestablished, of which only 17 were filled roles — the remaining 35 were already vacant — and records 12 new permanent positions created in the same restructure. Why did the flyer not disclose the net change in filled positions, rather than the gross disestablishment figure?

1. The debt reduction and “money banked for emergencies” figures rely in part on a one-off release of $12.85 million from three internal reserves, used to fund early loan repayments this financial year — money that cannot be released again in 2027-28 or 2028-29. Why did the flyer not distinguish between this one-off measure and any structural, recurring improvement in council's underlying financial position?

1. Who within council approved the final content and framing of this flyer before it was mailed to ratepayers, and was any consideration given to presenting a single reconciled set of figures — the number exhibited, the number adopted, and the reason for the difference — rather than the most favourable figure alone?

1. Will council commit, in its next ratepayer-facing financial communication, to publishing that reconciliation as standard practice, rather than leaving residents to piece together the full picture from separate reports released months apart?

I want to be clear about what I am and am not saying. I am not asserting that any individual figure in the flyer is false — on the evidence I have seen, each one is drawn from a genuine council document.

The question this letter puts to you is narrower and, I think, fair:

whether ratepayers were given enough of the picture to judge the claims for themselves, or only the part of it that reads best in a glossy insert. Residents who received this flyer are entitled to an answer either way.

I would appreciate a written response to each numbered question above. As set out in my opening paragraph, this is an open letter and I will publish whatever response is received, including none.

Yours faithfully,

Steve Prothero

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Note to councillors receiving a copy of this letter:
The questions above are put to the CEO on the public record. If you believe they warrant answers, you are in a position to raise them directly in the chamber — through a Question on Notice, a Notice of Motion, or a question in open council. That is one of the most effective ways to place these matters on the public record in a forum where a response cannot be declined. This publication will report whatever is raised and whatever is answered.
